Linley Cost Consultants
Quantity surveying and cost management

Initial Quantity Surveyor Report

The Wharf Residences, 18 Riverside Road, East Fremantle WA: budget, contract, contingency an

Prepared for Quillwood Credit Partners

Prepared by Linley Cost Consultants

15 March 2024

Version 1.0, initial report

Reference: LCC-QCP-WR-QS-001

Date: 15 March 2024

Synthetic - for demonstration. All names, entities and figures are fictional.
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1. Report details

Borrower	The Wharf Residences Pty Ltd (ABN 18 209 165 833)
Sponsor	Wharfside Developments Pty Ltd and related entities (Wharfside Group)
Property	18 Riverside Road, East Fremantle WA 6158
Proposed facility	A$61.0M senior secured construction facility, 27 month tenor
Prepared for	Quillwood Credit Partners
Prepared by	Linley Cost Consultants
Report date	15 March 2024
Version	1.0, pre-commencement review

Report details

2. Executive summary

Quillwood Credit Partners has asked us to review the project budget, construction contract, contingency and programme for the Wharf Residences development before credit approval. The project is a 96-apartment, six-storey building with two basement levels (138 bays) on a 4,200 square metre river-fronting site. It is being delivered under a fixed-price design and construct contract with Corvale Construction Pty Ltd. Construction has not commenced, so this is a pre-commencement desktop review.

Our overall view is that the A$100.0M total development cost (TDC) is broadly reasonable and the fixed-price contract transfers most cost risk to the builder. The main weaknesses are a thin client contingency, a liquidated damages rate below the facility's daily carrying cost, and limited float between forecast practical completion and facility maturity. Our principal findings are:

- The construction contract sum of A$74.6M equates to about A$5,900 per square metre of gross floor area (GFA). This sits within the range we would expect for comparable Perth mid-rise apartment projects with basement parking and a river-edge dewatering requirement.
- The client contingency of A$1.6M is 2.1% of the contract sum. We recommend a minimum of 3.0% (A$2.2M), and a sponsor cost-overrun undertaking to cover the A$0.6M difference.
- Liquidated damages of A$12,500 per day (see section 5) are below the approximate A$17,700 per day interest cost of a fully drawn facility. A prolonged delay would therefore erode the contingency and capitalised interest allowance.
- The 22 month construction period leaves about five months between forecast practical completion (April 2026) and facility maturity (September 2026). This is adequate but not generous if settlement is delayed.
- The facility of A$61.0M is sized to the costs remaining after A$39.0M of sponsor equity. We support this on a cost basis, subject to the conditions in section 9.

3. Scope and information reviewed

We reviewed the following documents: the Information Memorandum dated 12 February 2024, the borrower's financial information dated 23 February 2024, the Kinross Hale Valuers (Perth) valuation dated 8 March 2024, the cost plan prepared by the borrower's quantity surveyor, Pellegrini Dunmore Quantity Surveyors, and the executed Corvale design and construct contract and its schedules.

We have not independently measured quantities, verified land costs or tested the sales evidence. Finance costs, sales revenue and valuation conclusions are outside our scope and are referred to only where they affect cost to complete. Our review is for the sole use of Quillwood Credit Partners.

4. Project description and budget

4.1 Key project metrics

Metric	Value	Comment
Apartments	96	One, two and three bedroom
Gross floor area	12,650 sqm	Basement treatment to be confirmed
Net saleable area	8,900 sqm	70.4% of GFA
Car bays	138	Two basement levels
Contract per sqm GFA	A$5,900	A$74.6M / 12,650 sqm
Contract per sqm NSA	A$8,382	A$74.6M / 8,900 sqm
TDC per apartment	A$1.04M	A$100.0M / 96
GRV per apartment	A$1.30M	A$124.8M / 96

Key project metrics (derived from borrower and contract data)

The 70.4% ratio of net saleable area to GFA is acceptable if GFA includes circulation, plant and communal areas. We have asked Pellegrini Dunmore to confirm whether basement areas are included in the 12,650 square metres, because this affects the rate comparisons above.

4.2 Development budget

Cost item	A$M	% of TDC
Land (carried value)	14.5	14.5%
Construction contract (Corvale)	74.6	74.6%
Professional fees	1.6	1.6%
Statutory approvals and authority charges	1.1	1.1%
Marketing	0.5	0.5%
Legal, insurance and sundry	0.4	0.4%
Client contingency	1.6	1.6%
Finance costs (interest and fees)	5.7	5.7%
Total development cost	**100.0**	**100.0%**

Development budget as at 15 March 2024

The budget is arithmetically sound and the construction line agrees to the contract. Three observations follow.

- Land is carried at A$14.5M, while the site was acquired for A$13.2M in March 2022. The A$1.3M difference is outside our scope, but Quillwood should confirm how much is supported by incurred holding and acquisition costs before treating it as equity.
- Professional fees of A$1.6M (2.1% of the contract sum) are low in absolute terms. This is explained by design being the builder's responsibility under the design and construct structure, but it leaves little allowance for the client's own advisers, superintendent services or design reviews.
- Finance costs of A$5.7M are a lender-side calculation that we have not verified. Section 7 shows how sensitive cost to complete is to delay.

Selling and settlement costs sit below the TDC line. The borrower's forecast net profit before tax of A$21.7M implies about A$3.1M of such costs, being gross realisation of A$124.8M less TDC of A$100.0M and net profit.

5. Construction contract

Corvale Construction Pty Ltd is engaged under a lump-sum design and construct contract for A$74.6M. Our review of the principal commercial terms found the following.

Term	Position	Our view
Contract sum	A$74.6M fixed	Appropriate
Performance security	5% (A$3.73M) bank guarantees	Acceptable
Liquidated damages	A$12,500 per day	Below interest cost
LD cap	10% of sum (A$7.46M)	Acceptable
Payment	Monthly progress claims	Independent certification required
Provisional sums	To be itemised	Request schedule

Summary of principal contract terms

The fixed-price structure is a genuine mitigant, but it does not remove cost risk. Variations, latent site conditions and builder insolvency remain. Basement excavation on a river-fronting site carries acid sulfate soil and groundwater risk, and we need to confirm which party bears that risk under the contract. We recommend that Quillwood obtain a financial assessment of Corvale before first drawdown, and a deed of consent and step-in rights in favour of the lender.

6. Contingency

The client contingency of A$1.6M is in addition to any risk allowance priced within Corvale's lump sum. It is 2.1% of the contract sum. For a fixed-price contract of this size and site complexity we would normally expect 3.0% to 5.0% of the contract sum held outside the contract.

Contingency measure	A$M	Basis
Current client contingency	1.6	2.1% of contract
Recommended minimum	2.2	3.0% of contract
Shortfall	0.6	Sponsor undertaking

Contingency adequacy

We recommend the shortfall be covered by a Wharfside Group cost-overrun undertaking, supported by evidence of available funds. The sponsor has two other active projects, and its capacity to meet an overrun should be tested before reliance is placed on the undertaking. Contingency should be released only on our certification, and should not be applied to sponsor-driven scope changes.

7. Programme and delay exposure

The contract provides for a 22 month construction period. First drawdown is targeted for June 2024, and we have assumed construction commences in the same month. On that basis the key dates are as follows.

Milestone	Date	Months from June 2024
First drawdown and commencement	June 2024	0
Forecast practical completion	April 2026	22
Facility maturity	September 2026	27
Float to maturity	About 5 months	5

Programme and facility timing (assumed commencement June 2024)

The five months between practical completion and maturity must accommodate defects inspection, strata title registration and the settlement of 96 apartments. We consider this adequate for a well-run programme, but it would be consumed by a delay of the length shown below.

At an all-in rate of about 10.6% per annum (assuming 1-month BBSW of about 4.35% plus the 6.25% margin), a fully drawn A$61.0M facility accrues roughly A$17,700 of interest per day. A six month delay would cost about A$3.2M in interest. At A$12,500 per day, liquidated damages over 182 days would recover about A$2.3M, leaving a net exposure of about A$0.9M. That exposure would consume more than half of the existing contingency. Extensions of time claimed by the builder would reduce the recovery further.

8. Funding and cost to complete

Excluding land of A$14.5M, the cost to complete is A$85.5M. Sponsor equity of A$39.0M covers land and A$24.5M of project costs, leaving A$61.0M to be funded by the facility. This matches the requested limit and is 61.0% of TDC. Against the valuation's gross realisation of A$124.8M, the facility equates to a loan to value ratio of 48.9%.

We recommend that sponsor equity be applied in full before the first facility drawdown, with the A$24.5M of project costs evidenced by paid invoices and certified by us. We recommend that the facility remain in balance at each drawdown, so that undrawn commitments always cover the remaining cost to complete, including contingency.

9. Recommendations and drawdown conditions

- Before first drawdown: receipt of the executed contract, performance security, insurances and a Corvale financial assessment, together with the deed of consent and step-in rights.
- Before first drawdown: a sponsor cost-overrun undertaking covering the A$0.6M contingency shortfall, with evidence of available funds.
- Before first drawdown: confirmation of whether basement areas are included in GFA, and an itemised schedule of provisional sums and their exposure.
- Before first drawdown: confirmation of the allocation of acid sulfate soil, groundwater and dewatering risk under the contract, and evidence of compliance with Department of Water and Environmental Regulation conditions.
- Each drawdown: a progress claim certified by Linley Cost Consultants, with statutory declarations and updated cost to complete.
- Ongoing: monthly reporting of programme, variations, extension of time claims and contingency movements, with a site inspection each month.
- Ongoing: Quillwood to consider a minimum liquidity covenant on the sponsor and an early warning trigger if forecast practical completion moves beyond June 2026.

10. Limitations

This report is based on documents provided to us as at 15 March 2024 and on the assumptions stated. It is a pre-commencement review and will be updated once construction commences. We have not verified the accuracy of third party information and accept no liability to any party other than Quillwood Credit Partners.

11. Sign-off

Prepared by	Senior Quantity Surveyor, Linley Cost Consultants
Reviewed by	Director, Linley Cost Consultants
Date	15 March 2024
Status	Version 1.0, issued to Quillwood Credit Partners

Report sign-off